

In our approach, identify three target assets and map the corresponding allocations from Yale's model into our simple framework. The one asset class we do not cover is the so-called *absolute return* asset class. Roughly translated, this means “expensive, opaque, and tax-inefficient hedge funds,” so we exclude this allocation from our opportunity set. The three asset classes are:

- *Equity*: This includes the common stocks of companies:
Private, foreign, and domestic equity in the Yale model
- *Bonds*: So-called “risk-free” securities (US government bonds):
Bonds and cash in the Yale model
- *Real assets*: Real estate and commodities. Assets are traditionally thought to track inflation growth over time:
Real estate and natural resources in the Yale model

Now that we have our three core asset classes, the next step is to determine how to invest. Do we buy individual stocks? A mutual fund? In our view, exchange-traded funds (ETFs), while not a panacea, offer a compelling option. Both cost- and tax-efficient, ETFs are generally the best vehicle for investors and offer the desired exposures to our key asset classes. You can buy exposure at the click of a mouse, and you won't have to choose a hedge fund manager, be stuck in a 10-year private-equity lock-up, or manage a 10,000-acre timber farm.

Thus far, we have limited our discussion to the concept of asset allocation, which is essentially determining the baskets into which you will put your eggs. The next stage of our discussion involves tactics you might employ in your asset allocation process (e.g., how many eggs go into each basket).

If we examine Yale's target allocation percentages for fiscal 2015, we find that they use different weights for each asset class. For example, domestic equities are 6 percent of the target portfolio, while foreign equities are 13 percent. Why the disparity between the levels of exposure? Furthermore, Yale's allocations for 2015 differ from those targeted for 2014. Why the change in allocation targets? These are tactical decisions that reflect perceived opportunities and risks associated with the various asset classes.